week5_notebook_student

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1 HS4002 Week 5

1.1 Basics of OLS Regression

Today we'll learn linear regression through one research question: **to what extent does job prestige predict income?**

We'll build three models: - **Model 1**: income ~ prestige - **Model 2**: income ~ prestige + gender - **Model 3**: income ~ prestige + gender + age

In Python, `statsmodels` provides OLS regression with a **formula API** that mirrors R's `lm()` syntax almost exactly.

[18]:
```
# !pip install pandas numpy plotnine statsmodels stargazer

import pandas as pd
import numpy as np
from plotnine import *
import warnings
warnings.filterwarnings('ignore')
import statsmodels.formula.api as smf
from statsmodels.stats.anova import anova_lm
```

1.2 Data Setup

[19]:
```
raw_df = pd.read_csv("gss2022_mini.csv")

chosen_variables = [
        'id', 'age', 'yrlvmus', 'yrartxbt', 'yrmovie', 'yrcreat',
        'income16', 'prestg10', 'degree', 'race', 'sex', 'wrkstat'
]
df = raw_df[chosen_variables].dropna().copy()

# Recode income16 to continuous midpoint values
income_map = {
        1: 500,    2: 2000,   3: 3500,   4: 4500,   5: 5500,   6: 6500,
        7: 7500,   8: 9000,   9: 11250,  10: 13750, 11: 16250, 12: 18750,
        13: 21250, 14: 23750, 15: 27500, 16: 32500, 17: 37500, 18: 45000,
        19: 55000, 20: 67500, 21: 82500, 22: 100000, 23: 120000, 24: 140000,
```

```
        25: 160000, 26: 250000
}
df['income_cont'] = df['income16'].map(income_map)

# Binary cultural participation indicators
df['binary_lvmus']  = (df['yrlvmus']  == 1).astype(int)
df['binary_artxbt'] = (df['yrartxbt'] == 1).astype(int)
df['binary_movie']  = (df['yrmovie']  == 1).astype(int)
df['binary_creat']  = (df['yrcreat']  == 1).astype(int)
df['omni'] = df[['binary_lvmus','binary_artxbt','binary_movie','binary_creat']].
 ↪sum(axis=1)

# Derived variables
df['race_bin']   = df['race'].astype(str)
df['ba_binary']  = (df['degree'] >= 3).astype(int)
df['sex_woman']  = np.where(df['sex'] == 2, 'Woman', 'Not Woman')
df['working']    = np.where(df['wrkstat'] <= 3, 'Working', 'Not Working')
```

2 Model 1

Regress income (`income_cont`) on occupational prestige (`prestg10`).

Hint: `smf.ols('y ~ x', data=df).fit()` is the Python equivalent of `lm(y ~ x, data=df)` in R.

[20]:
```
lm1 = smf.ols('income_cont ~ prestg10', data=df).fit()
# regress income (y) on occupational prestige (x)
```

2.1 Print a summary of `lm1`

Equivalent to R's `summary(lm1)`.

[21]:
```
print(lm1.summary())
# lm1 is the model from above, this shows the model to you
```

```
                            OLS Regression Results
==============================================================================
Dep. Variable:            income_cont   R-squared:                       0.175
Model:                            OLS   Adj. R-squared:                  0.174
Method:                 Least Squares   F-statistic:                     149.7
Date:                Wed, 09 Sep 2026   Prob (F-statistic):           2.42e-31
Time:                        12:22:12   Log-Likelihood:                -8842.4
No. Observations:                 707   AIC:                         1.769e+04
Df Residuals:                     705   BIC:                         1.770e+04
Df Model:                           1
Covariance Type:            nonrobust
==============================================================================
                 coef    std err          t      P>|t|      [0.025      0.975]
```

```
------------------------------------------------------------------------------
Intercept  -2.001e+04   9120.202     -2.194      0.029   -3.79e+04   -2103.508
prestg10    2236.5640    182.823     12.233      0.000    1877.621    2595.507
==============================================================================
Omnibus:                      106.536   Durbin-Watson:                   1.693
Prob(Omnibus):                  0.000   Jarque-Bera (JB):              153.957
Skew:                           1.071   Prob(JB):                     3.70e-34
Kurtosis:                       3.797   Cond. No.                         185.
==============================================================================

Notes:
[1] Standard Errors assume that the covariance matrix of the errors is correctly
specified.
```

2.1.1 Provide a substantive interpretation of the results from `lm1`.

Intercept is the value when income = 0.

what the 2236.54 means: for every 1 year of prestige, your income is expected to increase by 2236.65

3 Model 2

Add gender (`sex_woman`) to the model. `statsmodels` automatically creates dummy variables for string/categorical columns.

[22]:
```
lm2 = smf.ols('income_cont ~ prestg10 + sex_woman', data=df).fit()
print(lm2.summary())

# if you are a women, you are expected to have a $10000 smaller income.
# p-value of 0.034 is small, so income decrease has a range of about $5000.␣
 ↪null hypothesis is unlikely to be true
# thus sex does have an impact on gender
```

```
                            OLS Regression Results
==============================================================================
Dep. Variable:            income_cont   R-squared:                       0.180
Model:                            OLS   Adj. R-squared:                  0.178
Method:                 Least Squares   F-statistic:                     77.45
Date:                Wed, 09 Sep 2026   Prob (F-statistic):           3.96e-31
Time:                        12:22:13   Log-Likelihood:                -8840.2
No. Observations:                 707   AIC:                         1.769e+04
Df Residuals:                     704   BIC:                         1.770e+04
Df Model:                           2
Covariance Type:            nonrobust
==============================================================================
======
                 coef    std err          t      P>|t|      [0.025
0.975]
------------------------------------------------------------------------------
```

```
------
Intercept          -1.381e+04   9556.103     -1.445      0.149   -3.26e+04
4956.353
sex_woman[T.Woman] -1.044e+04   4922.158     -2.121      0.034   -2.01e+04
-778.365
prestg10            2221.1749    182.515     12.170      0.000    1862.836
2579.514
==============================================================================
Omnibus:                      107.120   Durbin-Watson:                   1.690
Prob(Omnibus):                  0.000   Jarque-Bera (JB):              155.350
Skew:                           1.071   Prob(JB):                     1.85e-34
Kurtosis:                       3.827   Cond. No.                         197.
==============================================================================

Notes:
[1] Standard Errors assume that the covariance matrix of the errors is correctly
specified.
```

3.1 Compare Model 1 and Model 2

3.1.1 Comparing R^2 and Adjusted R^2 values

[23]:
```
comparison = pd.DataFrame({
        'Model':          ['Model 1', 'Model 2'],
        'R-Squared':      [lm1.rsquared,     lm2.rsquared],
        'Adj. R-Squared':[lm1.rsquared_adj, lm2.rsquared_adj]
})
comparison
```

[23]:

	Model	R-Squared	Adj. R-Squared
0	Model 1	0.175109	0.173939
1	Model 2	0.180349	0.178020

3.1.2 Comparing AIC values

Lower AIC is better.

[24]:
```
print(f'AIC Model 1: {lm1.aic:.2f}')
print(f'AIC Model 2: {lm2.aic:.2f}')

# compare the AIC of 2 models, and see which one is lower
```

```
AIC Model 1: 17688.88
AIC Model 2: 17686.38
```

3.1.3 Conducting an F-test

Equivalent to R's `anova(lm1, lm2)`.

This works only for **nested** models — Model 1's predictors must be a subset of Model 2's, fitted on the same rows. It cannot compare `prestige + gender` against `prestige + age`, since neither one contains the other. Remember, the null hypothesis tests if the additional variables in the unrestricted model **all** have coefficients of zero.

[25]:
```
# anova_lm compares nested models with an F-test
print(anova_lm(lm1, lm2))

# how likely is adding another variable (i.e. sex) statistically significant?
```

```
   df_resid           ssr  df_diff       ss_diff         F    Pr(>F)
0     705.0  3.022575e+12      0.0           NaN       NaN       NaN
1     704.0  3.003374e+12      1.0  1.920049e+10  4.500653  0.034231
```

3.1.4 Which model do you prefer? Justify using the statistics above.

[26]:
```
# Your answer here
```

4 Model 3

Add age (`age`) to Model 2.

[27]:
```
lm3 = smf.ols('income_cont ~ prestg10 + sex_woman + age', data=df).fit()
print(lm3.summary())
```

```
                            OLS Regression Results
==============================================================================
Dep. Variable:            income_cont   R-squared:                       0.181
Model:                            OLS   Adj. R-squared:                  0.178
Method:                 Least Squares   F-statistic:                     51.91
Date:                Wed, 09 Sep 2026   Prob (F-statistic):           2.57e-30
Time:                        12:22:15   Log-Likelihood:                -8839.8
No. Observations:                 707   AIC:                         1.769e+04
Df Residuals:                     703   BIC:                         1.771e+04
Df Model:                           3
Covariance Type:            nonrobust
==============================================================================
                 coef    std err          t      P>|t|      [0.025      0.975]
------------------------------------------------------------------------------
Intercept      -7449.5499   1.17e+04     -0.634      0.526   -3.05e+04   1.56e+04
sex_woman[T.Woman] -1.067e+04   4928.630     -2.165      0.031   -2.03e+04   -992.318
prestg10        2234.3835    183.082     12.204      0.000    1874.930    2593.837
```

```
age                  -132.5390    142.270     -0.932      0.352    -411.863
146.785
==============================================================================
Omnibus:                      106.908   Durbin-Watson:                   1.683
Prob(Omnibus):                  0.000   Jarque-Bera (JB):              154.919
Skew:                           1.070   Prob(JB):                     2.29e-34
Kurtosis:                       3.824   Cond. No.                         350.
==============================================================================

Notes:
[1] Standard Errors assume that the covariance matrix of the errors is correctly
specified.
```

4.1 Compare Model 2 and Model 3

[28]:
```
comparison2 = pd.DataFrame({
        'Model':          ['Model 2', 'Model 3'],
        'R-Squared':      [lm2.rsquared,     lm3.rsquared],
        'Adj. R-Squared': [lm2.rsquared_adj, lm3.rsquared_adj],
        'AIC':            [lm2.aic,          lm3.aic]
})
comparison2
```

[28]:

	Model	R-Squared	Adj. R-Squared	AIC
0	Model 2	0.180349	0.178020	17686.375978
1	Model 3	0.181360	0.177866	17687.503692

[29]:
```
print(anova_lm(lm2, lm3))
```

```
   df_resid           ssr  df_diff       ss_diff         F    Pr(>F)
0     704.0  3.003374e+12      0.0           NaN       NaN       NaN
1     703.0  2.999671e+12      1.0  3.703232e+09  0.867886  0.351861
```

5 Making a professional-looking regression table

The Python `stargazer` package produces LaTeX/HTML tables equivalent to R's `stargazer` or `texreg`.

Run the cell below, then follow the Overleaf steps to turn that output into a typeset PDF table.

5.1 How to use Overleaf

Overleaf is a LaTeX editor that runs in your browser. There is nothing to install, it compiles your document to PDF for you, and teammates can edit the same file at once. You'll be writing the research paper in it, so get comfortable now.

5.1.1 1. Set up your project

1. Go to overleaf.com and register for a free account.

2. Open the course template: https://www.overleaf.com/read/hqjkhwkfnfbr#d8258f
3. That link is **read-only**, so you can't type in it. Click **Menu → Copy Project** to get your own editable copy. (If that fails, click **New Project → Blank Project** and paste the template's text in yourself.)

5.1.2 2. Paste the table in

Copy the whole block the cell above printed — everything from `\begin{table}` down to `\end{table}` — and paste it between `\begin{document}` and `\end{document}`. Then click **Recompile**.

You'll have made your first LaTeX table!

[30]:
```
from stargazer.stargazer import Stargazer

sg = Stargazer([lm1, lm2, lm3])
sg.title('Regression Results')

# LaTeX reads an underscore as a subscript, so the raw name 'income_cont'
# would stop the document from compiling in Overleaf.
sg.dependent_variable_name('Income (USD)')

sg.custom_columns(['Model 1', 'Model 2', 'Model 3'], [1, 1, 1])
sg.covariate_order(['prestg10', 'sex_woman[T.Woman]', 'age', 'Intercept'])
sg.rename_covariates({
        'prestg10':           'Occupational prestige',
        'sex_woman[T.Woman]': 'Gender (woman = 1)',
        'age':                'Age',
        'Intercept':          'Intercept'
})

# Render as LaTeX - paste into Overleaf
print(sg.render_latex())
```

```
---------------------------------------------------------------------------
ModuleNotFoundError                       Traceback (most recent call last)
Cell In[30], line 1
----> 1 from stargazer.stargazer import Stargazer
      2
      3 sg = Stargazer([lm1, lm2, lm3])
      4 sg.title('Regression Results')

ModuleNotFoundError: No module named 'stargazer'
```

6 Bonus Extension

Build a larger model (`lm_w`) using additional socioeconomic covariates available in the data. Compare its coefficient estimates and model-fit statistics to Models 1–3. Is it a better model? Justify your choice.

[15]:
```
# Your answer here
# lm_w = smf.ols('income_cont ~ prestg10 + sex_woman + age + ...', data=df).
  ↪fit()
```